EnerSys (ENS)

The Battery-Backed Upside Is Waiting Behind a Temporary Discount

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> EnerSys has rebuilt its balance sheet, accelerated the rollout of next-generation lithium-ion platforms, and secured multi-year contracts that lock in pricing upside. The market has over-emphasized short-term inventory pressure while ignoring the compounding tailwinds from renewable-grid integration and data-center resilience. We therefore assign a BUY rating, target a blended price of $219.31, which represents a 30.0% upside to the current $168.72 reference price.

BUY	$219.31	+30.0%	$168.72
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on a near-term dip in order volumes, yet EnerSys's multi-year backlog and the secular shift toward clean-energy storage create a compounding earnings trajectory that the consensus has not fully priced in.

EXECUTIVE SUMMARY

EnerSys operates a global footprint of manufacturing sites in North America, Europe and Asia, producing industrial-grade batteries, uninterruptible power supplies (UPS) and related power-management solutions. The company commands roughly 15% market share in the industrial UPS segment and a leading position in motive-power batteries for material handling equipment. Its product portfolio spans lead-acid, nickel-cadmium and an expanding lithium-ion line that addresses high-density, fast-charge applications. The catalyst driving the current valuation compression is a confluence of inventory normalization in the data-center market and a temporary pricing dip in the lead-acid segment. While earnings have softened in the most recent quarter, the underlying order backlog has risen 12% year-over-year, and the company has announced a $1.2 billion capital-expenditure program to expand lithium-ion capacity. The market has priced the near-term earnings dip at a 15% discount to historical multiples, creating a buying opportunity for investors who recognize the longer-term earnings accretion. Capital allocation remains disciplined. EnerSys has reduced net debt by $300 million over the past twelve months, repurchased $250 million of shares, and earmarked $500 million for strategic acquisitions in the high-growth energy-storage niche. The balance sheet now features a net-cash position of $150 million, a debt-to-EBITDA ratio of 2.1×, and ample liquidity to fund its expansion without diluting shareholders.

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OPERATIONAL SNAPSHOT

$168.72	$3.32 B	$0.78 B	24%	1.44	$168.72
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-16.

THE MOAT IS DEEP AND DEFENSIBLE

EnerSys's moat derives from high switching costs embedded in its long-term service contracts, which typically span five to ten years and include performance guarantees. Customers in critical infrastructure sectors such as telecommunications, data centers and rail transport cannot afford unplanned downtime, and they therefore remain locked into EnerSys's warranty and maintenance ecosystem. This creates a sticky revenue base that is difficult for new entrants to replicate. Regulatory barriers reinforce the moat. In many jurisdictions, safety certifications for industrial battery systems require extensive testing and compliance with standards such as UL 1973 and IEC 62619. EnerSys has invested over $200 million in certification labs and holds a portfolio of patents covering high-temperature electrolyte formulations and modular UPS architectures. These patents protect the company's ability to offer higher energy density solutions at lower total cost of ownership. Customer retention is further bolstered by a global service network of more than 1,200 field engineers. The service contracts generate recurring revenue that accounts for roughly 18% of total sales, and they provide real-time data on battery health that feeds back into product development. This feedback loop enables EnerSys to iterate quickly on chemistry improvements, thereby maintaining pricing power even as raw material costs fluctuate. Finally, pricing power is underpinned by the scarcity of qualified suppliers for critical raw materials such as cobalt and lithium. EnerSys has secured long-term off-take agreements with miners in the Democratic Republic of Congo and Australia, locking in supply at favorable terms. This supply security allows the company to sustain margins while competitors face cost volatility.

VALUATION

Three scenarios make the valuation range explicit

Our baseline case assumes a 6% compound annual revenue growth rate over the next ten years, driven by the rollout of lithium-ion platforms and the expansion of the industrial UPS market. We normalize the free cash flow margin to 24% as the product mix shifts toward higher-margin lithium solutions. The terminal growth rate is set at 3%, reflecting long-term GDP growth and the gradual maturation of the energy-storage market. The bear case incorporates a slower 3% revenue CAGR and a compressed 18% FCF margin, while the bull case envisions a 9% revenue CAGR and a 30% FCF margin as new capacity comes online and pricing improves.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3%	18%	$151.98	-9.9%

Base	50%	6%	24%	$219.84	+30.3%
Bull	25%	9%	30%	$285.57	+69.3%

Bear $151.98

The bear outcome materializes if the lithium-ion rollout stalls, inventory levels in the data-center segment remain elevated, and raw-material cost inflation erodes margins beyond our 18% floor.

Base $219.84

Our base case reflects a steady transition to lithium, a 12% increase in the multi-year backlog, and disciplined capex that lifts the FCF margin to 24% while maintaining a 6% revenue growth trajectory.

Bull $285.57

The bull scenario requires the successful integration of two strategic acquisitions, a 15% uplift in pricing from premium lithium products, and a faster-than-expected adoption of grid-scale storage solutions.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We construct the discount rate using a CAPM framework that incorporates the 1.44 equity beta, a risk-free rate of 4.5%, and an equity risk premium of 6.0%. Adding a 2.5% company-specific risk premium yields a cost of equity of 13.0%. After accounting for the target capital structure of 30% debt, the weighted average cost of capital settles at 10.00%, which we treat as a live rate that updates with market conditions. This approach ensures that the valuation reflects the true market pricing of EnerSys's systematic risk rather than a static hurdle that could misstate intrinsic value. The 10.00% WACC implies that investors demand a modest premium for the company's exposure to commodity price cycles and the transition risk associated with legacy lead-acid assets. Our live discount rate captures the market's current appetite for industrial technology exposure, and it provides a consistent basis for comparing the three scenario outcomes.

FCF margin normalization is the engine

Historically, EnerSys's free cash flow margin has oscillated between 15% and 22% as the product mix shifted between low-margin lead-acid and higher-margin lithium offerings. In the base scenario we assume a gradual migration that lifts the margin to 24% by 2031, driven by economies of scale in lithium cell production and the higher price points commanded by modular UPS solutions. The bear case assumes a slower migration, leaving the margin at 18% as legacy inventory depresses pricing. Conversely, the bull case envisions an accelerated shift that

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**10.00% (2026-10-16)**
Terminal growth	**3.0%**
Equity beta	**1.44**
Diluted shares	**115 million**

BUY

over $219.31 blended target

pushes the margin to 30% as new high-energy-density chemistries capture premium market share. Margin expansion is reinforced by operating leverage. Fixed manufacturing overhead is spread over a larger volume base, and the service contract segment contributes high-margin recurring cash flow that cushions the impact of raw-material volatility. These dynamics are baked into the scenario-specific FCF margins.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on industrial grid resilience and data-center UPS demand

BUY

EnerSys's industrial UPS segment, which generated $1.9 billion in FY2025 revenue, is expanding at a 7% CAGR as utilities modernize distribution networks and require seamless backup power. The segment benefits from regulatory mandates that enforce minimum reliability standards, driving long-term contracts that lock in pricing escalators. In parallel, the data-center UPS market, accounting for $800 million of FY2025 sales, is rebounding from a temporary inventory buildup. Customers are now prioritizing lithium-ion UPS solutions that deliver higher efficiency and lower total cost of ownership, a trend that is expected to lift segment revenue by double-digit percentages over the next three years. The motive-power battery segment, serving material handling and forklift fleets, contributed $620 million in FY2025 and is poised for a 5% annual growth rate as e-mobility adoption accelerates in logistics hubs. EnerSys's recent partnership with a leading autonomous-vehicle OEM adds a pipeline of high-density battery packs that could add $150 million of incremental revenue by 2028. Finally, the emerging grid-scale storage business, still nascent at $120 million, is projected to grow at 20% annually as renewable-energy curtailment drives demand for short-duration, high-power storage. The company's recent acquisition of a lithium-ion module maker positions it to capture a larger share of this fast-growing niche.

What to monitor

- **Backlog expansion** A sustained increase in multi-year contracts would validate the revenue trajectory and support higher pricing power.

- **Lithium-ion capacity ramp** Successful commissioning of the new Shanghai and Columbus plants will be a leading indicator of margin improvement.
- **Raw-material pricing** Movements in cobalt and lithium spot prices could compress margins if off-take agreements are not fully hedged.
- **Acquisition integration** The ability to assimilate the recent module-maker purchase without diluting earnings will be critical for the bull case.

6.2%	24%	18%	5.5%	0.45	12.8%
REVENUE CAGR (3-YR)	FCF YIELD	EBITDA MARGIN	CAPEX / REV	DEBT/EQUITY	ROIC

METRIC	FY2025
Revenue	$3.32 B
Gross Profit	$1.12 B
EBIT	$590 M
Net Income	$380 M
Free Cash Flow	$780 M
R&D	$120 M
ROE	14.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

If competitors accelerate their lithium rollouts, EnerSys could lose market share in the high-margin UPS

M&A DIGESTION

Integration challenges from recent acquisitions could generate unexpected integration costs and distract management

REGULATORY AND PRICING SCRUTINY

Heightened safety regulations could increase compliance costs, while price caps in certain utility markets may limit upside.

TECHNOLOGY DISRUPTION

Breakthroughs in solid-state batteries could render current lithium chemistries less competitive, eroding the pricing premium.

REINVESTMENT TREADMILL

Continued capital spending to expand capacity may outpace cash generation, leading to a higher leverage profile.

WACC AND DURATION SENSITIVITY

Rising interest rates would lift the discount rate, compressing the present value of long-term cash flows.

segment, pressuring revenue growth below the 3% floor.

from core execution.

The strengths

OLIGOPOLY POSITION

EnerSys controls a sizable share of the industrial UPS market, creating pricing leverage and entry barriers for new players.

FCF COMPOUNDING

Strong free cash flow generation enables share repurchases, debt reduction and reinvestment without diluting shareholders.

Geographic durability

A diversified manufacturing footprint mitigates regional supply-chain disruptions and provides proximity to key customers.

PIPELINE OPTIONALITY

Strategic acquisitions and a robust R&D pipeline give EnerSys multiple pathways to capture growth in grid-scale storage and e-mobility.

Compelling risk-reward, skewed to the upside

EnerSys stands at the intersection of two secular megatrends: the global transition to renewable energy and the relentless demand for uptime in mission-critical infrastructure. The company’s deep moat, disciplined capital allocation and accelerating shift to higher-margin lithium products position it to deliver multi-year earnings accretion. While downside risks exist, they are largely manageable through balance-sheet strength and the ability to adjust pricing in response to commodity swings. Accordingly, we maintain a BUY rating, a blended target of $219.31 and a 30.0% upside to the current market price.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Industrial UPS Systems: repriced on normalization

Industrial UPS systems have historically been the cash-cow of EnerSys, accounting for roughly 57% of total revenue. The segment’s legacy lead-acid offerings have faced margin pressure due to commoditization, yet the transition to lithium-ion UPS has opened a pricing premium of up to 15% per unit. The company’s recent launch of the “Titanium” lithium-ion UPS line, featuring modular architecture and AI-driven predictive maintenance, has already secured contracts worth $250 million. This product line is expected to contribute $400 million of incremental revenue by 2028, driven by higher efficiency and lower total cost of ownership for end users. The growth narrative for industrial UPS was initially dampened by an inventory buildup in 2024, as data-center operators over-ordered in anticipation of a demand surge that was postponed by macro-economic headwinds. As the inventory cycle

normalizes, order rates have rebounded, and the backlog now reflects a 12% year-over-year increase. The market's focus on the short-term dip has led to a valuation gap that our model captures.

Why the growth numbers disappointed

- Inventory over-stock in the data-center segment suppressed shipments in Q2-2025.
- Lead-acid price compression reduced gross margins for legacy product lines.
- Supply-chain bottlenecks for cobalt delayed the ramp-up of lithium-ion capacity.
- Higher freight costs increased delivered-to-customer expenses, affecting net revenue.

Our read: Normalization and consolidation, not share loss or thesis break. The market is correcting a temporary inventory distortion while the underlying franchise continues to expand through higher-margin lithium-ion UPS, grid-scale storage and e-mobility battery solutions. This trajectory supports our 30% upside target and reinforces the BUY conviction.

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